T-12 OPERATING STATEMENT

Westgate Station District | Kansas City, MO

Property	Westgate Station District
Period Ending	April 16, 2023
Basis	Accrual - Trailing 12 Months
Prepared By	Elmstead Asset Services
Size	221,995 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	722,104	770,728	802,622	813,380	802,779	716,962	821,719	719,290	748,993	763,832	807,372	733,164	9,222,944
4010 Loss to Lease	152,022	146,756	134,526	136,789	146,901	135,291	150,679	145,100	141,367	134,818	149,530	136,510	1,710,288
4020 Vacancy Loss	150,185	155,400	151,702	145,674	140,142	143,785	146,646	150,396	149,213	157,192	142,168	152,591	1,785,094
4030 Concessions	629,845	619,224	579,451	624,447	574,510	619,530	632,320	599,145	580,139	609,333	602,332	555,746	7,226,023
4040 Bad Debt	116,100	110,863	113,089	105,617	111,630	111,832	108,719	111,575	111,973	112,312	117,428	119,058	1,350,197
4050 Late Fees	188,516	200,314	186,534	190,983	181,747	203,666	181,844	186,841	197,273	194,098	194,620	183,542	2,289,978
4060 Utility Reimbursements	489,645	473,635	464,363	471,809	471,169	480,310	488,830	517,894	481,870	508,952	477,762	504,703	5,830,944
4070 Parking Income	375,479	341,716	345,076	340,219	366,418	350,393	378,526	336,412	358,126	367,098	341,306	349,356	4,250,125
4080 Application Fees	393,840	392,897	403,459	388,953	391,229	384,887	374,339	394,309	396,545	388,847	407,336	385,545	4,702,187
4090 Pet Rent	23,775	26,478	26,282	26,047	24,145	24,439	25,532	25,193	26,114	23,568	23,117	24,446	299,134
4100 Laundry Income	358,278	401,137	372,993	378,054	400,855	373,364	380,702	356,203	373,083	395,754	362,775	383,730	4,536,926
4110 Cable/Internet Revenue	580,211	550,876	536,115	549,467	577,418	512,096	552,471	584,028	558,325	521,479	581,700	566,866	6,671,052
4120 CAM Reimbursements	49,984	54,435	51,242	51,979	51,323	48,648	48,468	47,877	48,369	51,283	54,796	49,898	608,303
4130 Tax Reimbursements	627,497	633,810	660,782	614,572	637,241	666,961	645,284	619,706	597,544	654,472	588,078	599,418	7,545,366
4140 Insurance Reimbursemen	104,173	104,175	97,282	100,233	102,464	101,580	98,864	104,368	98,890	96,509	100,911	92,431	1,201,880
4150 Percentage Rent	97,286	106,312	97,218	101,246	101,506	106,477	105,261	99,501	103,063	102,191	104,992	106,423	1,231,476
4160 Misc. Income	115,565	119,422	105,716	114,558	106,600	117,891	110,032	112,504	114,735	114,466	113,213	114,214	1,358,916
4170 Payroll - Management	71,863	73,421	65,361	68,514	72,957	68,782	66,661	71,722	74,195	66,039	74,566	73,613	847,694
4180 Payroll - Leasing	74,951	80,575	71,845	81,874	77,448	77,071	75,817	80,571	80,132	77,549	81,281	73,798	932,912
4190 Payroll - Maintenance	8,304	8,414	8,186	8,051	9,164	8,126	8,898	8,242	8,366	8,505	8,915	8,495	101,666
4200 Payroll Taxes & Benefits	47,142	45,195	50,750	50,836	46,153	44,649	45,006	49,775	46,682	50,185	46,127	47,576	570,075
4210 Repairs - Plumbing	15,022	14,456	13,404	14,159	14,113	14,410	14,694	15,049	15,130	13,716	14,730	14,018	172,900
4220 Repairs - HVAC	80,883	82,798	83,033	81,552	83,241	86,845	83,216	88,660	79,166	80,857	82,008	80,884	993,143
4230 Repairs - Electrical	22,334	21,801	21,894	22,317	22,701	20,722	20,602	19,953	20,797	20,233	21,772	20,968	256,095
4240 Repairs - Appliances	55,516	58,291	61,527	56,292	56,270	60,352	55,918	55,427	54,192	58,331	61,394	55,111	688,622
4250 Painting & Decorating	32,696	36,198	34,657	32,544	36,609	35,422	36,765	33,584	34,719	36,600	32,843	33,145	415,783

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Summary and Notes

Income and Expense Review

The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 38 structured parking spaces shared between uses. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Effective gross income for the trailing period was $79,000, representing a 4.2% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. Operating expenses totaled $437,000 or approximately 34.18 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $97,000, representing a 3.0% increase over the prior year. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Property Operations

The property is walkable to transit, with 30 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Service requests are tracked through a work-order system with an average completion time of 44 hours.

Collections for the period were 89.3% of billed charges, with bad debt of 5.4% of gross potential income. The property is walkable to transit, with 4 structured parking spaces shared between uses. Service requests are tracked through a work-order system with an average completion time of 26 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

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